



Market Debunk

#MARKETDEBUNK

The unlisted market's

hidden trap



The delusion *of pre-IPO* discounts

Retail buyers view grey market shares as guaranteed early bargains. In reality, unlisted pricing lacks institutional book-building. When Hero Motors priced its IPO at ₹79–84, investors who bought at ₹300 faced an immediate, unhedged **72% valuation collapse**.



How grey *markets shift* toxicity

Unlisted platforms operate as unregulated inventory dumps. Intermediaries buy private blocks cheap, fabricate scarcity through hyped narrative, and mark up prices to offload illiquid risk onto retail participants long before formal price discovery exposes the true **institutional fair value**.



The deadly *trap of* zero liquidity

Unlike public exchanges, grey markets offer no guaranteed bid-ask spread. When market sentiment shifts, secondary buyers vanish entirely. Retail holders are left locked into inflated entry prices near **₹300**, completely unable to hedge or exit prior to the red herring prospectus.



The brutal *math of* valuation resets

A drop from ₹300 to ₹84 requires a massive **257% gain** just to break even on invested capital. This compounding drag cripples multi-year portfolio yield, proving that entry price premium paid in unlisted markets destroys long-term risk-adjusted equity returns.



The golden *rule for* unlisted shares

Never confuse unlisted markups with intrinsic value. If an unlisted issue lacks anchor institutional backing or audited price discovery, treat grey market valuations as toxic retail distribution. Always demand a minimum **40% margin of safety** below private funding rounds.



Run this

three-step pre-trade

audit

First, verify institutional anchor commitment levels. Second, calculate potential downside using the lowest institutional private valuation, not broker quotes. Third, ensure entry cost sits at least **30% below** projected IPO price band limits before committing liquid capital.



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